UNIT VIII INTERNATIONAL BUSINESS

CHAPTER 25 INTERNATIONAL BUSINESS

Learning Objectives

To enable the students to

i. explain the meaning of international business

ii. state as to why international business takes place and how does it differ from internal trade

iii. describe the scope and benefits of international trade

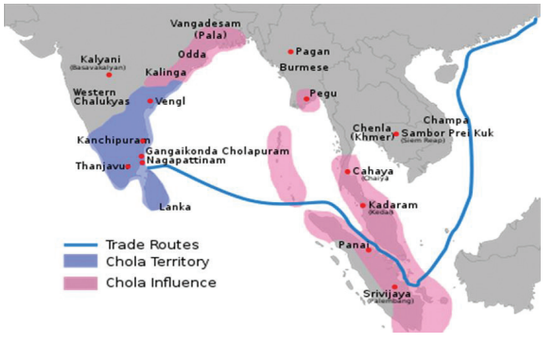
iv. discuss the different types of international trade

Introduction

The previous chapter deals with internal trade and various types of internal trade in detail. The present chapter presents the basic aspects of international business. It enlightens the students on the difference between internal trade and international business, types of international business, the advantages and disadvantages of international business. Let us first shed light on the meaning and definition of international business. India's international trade is not of recent origin. The various pieces of literature bear enormous evidence about India's foreign trade with other countries. Evidences about our international trade are found in the ancient literature of our country particularly in our Sangam Literature. There were regular Trade Routes across the seas to the distant Jawa and Sumatra islands in the east and up to the Arabian Peninsula in the west. But the volume of such trade was insignificant and continued to remain so small all through the middle ages and right up to the advent of the British rule in India. It is only after the establishment of the British rule in India that India's foreign trade took a definite shape.

DO YOU KNOW?

There are some routes of International Business before 18th century 1. Salt Route-India to Egypt 2.Silk Route-China to India 3.Spice Route-India to Europe



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